

Company Overview

Coal India Ltd is mainly engaged in mining and production of Coal and also operates Coal washeries. The major consumers of the company are power and steel sectors. Consumers from other sectors include cement, fertilizers, brick kilns etc.

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	26.3%	45.2%	0.08	11.2	0.60	13617.0
2023	22.9%	52.1%	0.07	14.3	0.62	12269.0
2022	15.8%	40.3%	0.08	22.0	0.61	15392.0
2021	14.1%	34.8%	0.16	19.1	0.56	10774.0
2020	17.4%	51.9%	0.20	11.6	0.64	6010.0
2019	17.5%	66.0%	0.08	12.8	0.75	8460.0
2018	8.3%	34.9%	0.08	15.3	0.68	13368.0
2017	11.9%	37.8%	0.12	12.4	0.66	16916.0
2016	18.3%	41.0%	0.03	10.0	0.69	21308.0
2015	18.5%	34.0%	0.01	8.6	0.67	15276.0

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Qualitative Investment Insights

Strengths (Pros):

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Risks & Concerns (Cons):

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility